INTRODUCTION TO INDIAN STOCK MARKET

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What is the Stock Market?

The stock market is a secure, organized place where shares of publicly listed companies are traded.

It acts as a digital platform that connects buyers and sellers to exchange these shares safely and instantly at real-time prices.

What is a Stock / Share?

A **stock** or **share** represents a tiny unit of ownership in a company.

When you buy a stock, you are buying a small slice of that business, making you a part-owner (shareholder) of the corporation.

Example

- Total Value of Company (Market Cap): ₹1,000 Crore
- Total Number of Shares: 10 Crore
- Value of One Share: ₹100/-

The Formula:

Share Value = Total Market Cap / Total Number of Shares

Share Value = ₹1,000 Crore / 10 Crore = ₹100/-

Note: If you spend ₹100, you buy exactly 1 share and own a tiny fraction of this ₹1,000 Crore company.

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What is Market Capitalization?

Market Capitalization (or Market Cap) is the total market value of a company's outstanding shares.

It tells you exactly how much a company is worth on the stock market today.

Market Capitalization = Total Number of Shares x Current Market Price of One Share

Example:

- Total Number of Shares: 10 Crore
- Current Share Price: ₹100/-

Market Capitalization: 10 Crore x ₹100 = ₹1,000 Crore

(This means the total market value of the company is ₹1,000 Crore.)

Why is it Important?

- It helps investors understand the true size of a company instead of just looking at the single share price.

IPO (Initial Public Offering)

An **IPO (Initial Public Offering)** is the process where a private company sells its shares to the general public for the very first time. Through this process, the company raises capital for its growth and officially becomes a publicly listed company on the stock exchange.

Types of markets

Primary Market: The primary market is the financial market where a company issues **brand new securities** to the public for the very first time to raise capital. In this market, transactions happen directly between the issuing company and the investor.

Secondary Market: The secondary market is the daily marketplace where investors and traders buy and sell **existing securities** among themselves. In this market, transactions happen between buyers and sellers, and the issuing company is not involved.

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Stock Exchange

stock exchange is a centralized, digital platform that facilitates the buying and selling of financial securities like shares, derivatives, and bonds.

It acts as a highly regulated, electronic marketplace that ensures trade execution is fast, safe, and transparent.

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Major Stock Exchanges in India

NSE (National Stock Exchange):

- Located in Mumbai and handles the highest daily trading volume in India.
- It is famous for its benchmark index, the **NIFTY 50**, which represents the weighted average of 50 of the largest Indian companies.

BSE (Bombay Stock Exchange):

- Located on Dalal Street in Mumbai and is the oldest stock exchange in Asia (established in 1875).
- It is famous for its benchmark index, the **SENSEX**, which tracking 30 well-established, financially sound companies.

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NIFTY 50

The NIFTY 50 is a benchmark Indian stock market index that represents the weighted average of 50 of the largest, most liquid, and financially sound companies listed on the National Stock Exchange (NSE).

It acts as the financial health card of the Indian economy. If NIFTY is going up, the general corporate sector is performing well; if it goes down, the broader market is facing selling pressure.

How is NIFTY 50 Formed?

1. **Top 50 Giants:** Out of thousands of companies listed on the NSE, only the top 50 are selected based on their size and trading activity.

2. **Market Capitalization Weighted:** Companies are not given equal importance. A larger company with a higher **free-float market capitalization** carries more weight (influence) on the index than a smaller company.

3. **Diversified Sectors:** It does not rely on a single industry. It includes top companies from various sectors like Financial Services, IT, Oil & Gas, Automobile, and Consumer Goods.

4. **Rebalancing:** The list of 50 companies is not permanent. The index is reviewed and rebalanced twice a year. Poorly performing companies are removed, and growing companies take their place.

Securities and Exchange Board of India (SEBI)

SEBI is the regulatory body for securities and commodity markets in India, operating under the ownership of the Ministry of Finance, Government of India.

Think of SEBI as the financial police or the referee of the stock market. Its main job is to see that the market runs honestly and safely.

Core Objectives of SEBI

1. **Protecting Retail Investors:** Its highest priority is to protect regular people from corporate scams, cheating, fraud, and unfair price manipulation.
2. **Developing the Market:** It works to keep the stock market up to date by introducing modern technologies, transparent electronic trading rules, and safe settlement practices.
3. **Regulating Market Players:** It sets strict rules, monitors, and licenses all stock market middlemen—including stockbrokers, mutual fund houses, investment advisors, and merchant bankers.

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Major Powers of SEBI

- **Approval Power:** A company cannot launch an IPO or list on a stock exchange without submitting its prospectus to SEBI and getting approval.

- **Investigation and Penalties:** If anyone tries to manipulate stock prices or conduct in-side trading, SEBI has the legal power to freeze accounts, halt trading, and levy massive financial penalties.

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What are the Factors Affecting the Price of a Share?

At any given second, the ultimate law driving a stock price is **Demand and Supply**.

- If there are more buyers than sellers , Price goes **UP**.
- If there are more sellers than buyers , Price goes **DOWN**

Key Factors That Change Demand & Supply

1. Company Performance (Internal Factors)
2. Market Sentiment & Psychology (External Factors)
3. Macroeconomic Factors (Broad Economy)
4. Global Events

The Two Ways to Look at the Market

Investing (Fundamental Analysis): Buying shares of good businesses to hold for years. This is the slow, reliable way to build long-term wealth by becoming a part-owner of great companies.

Trading (Technical Analysis): Buying and selling shares within days, hours, or minutes based on price charts to make quick profits. This is a high-risk approach that requires deep skill and daily attention.

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1. Fundamental Analysis (Checking the Business)

This approach is all about looking at the **actual health of the company**.

- **The Goal:** To find out if the company is strong, honest, and truly worth your money.
- **Questions you ask:**
  - Is this company making real profits every year?
  - Does it have too much debt or loan pressure?
  - Is the management team honest and smart?
  - Will people still buy their products 5 or 10 years from now?
- ***Who uses it: Long-term Investors*** *who want to buy a great business and hold onto it for a long time to grow their wealth.*

2. Technical Analysis (Checking the Price Chart)

- **What it means:** This approach completely ignores the company's business details and focuses entirely on **the history of the stock price** using charts.
- **The Goal:** To look at past price movements to guess where the price will jump next.
- **Questions you ask:**
  - Is the price currently going up, going down, or moving sideways?
  - At what price do buyers usually step in?
  - At what price do sellers usually start selling?
- ***Who uses it: Short-term Traders*** *who want to buy a stock today and sell it tomorrow or next week for a quick profit.*

THANK YOU